STARDOM Ventures

Q2 2025 REVIEW

STARDOM VENTURES

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SUMMARY

- **2025 Highlights:**
  - 1 new investment in amount of $750K
  - 5 follow-ons investment in amount of $3.5M – **including 4 up rounds**
  - Fair market value: $58M
  - Gross Multiple: 1.23x

- **New investments in 2025:**
  - ZyG - founded by ex iS founders and is revolutionizing eCommerce by building a platform that publishes high-potential products into thriving brands through data-driven insights and cutting-edge technology. we invested $750K at $100M pre-valuation (0.5%)

- **Follow-On investments in 2025:**
  - Flying pigs- $200K at a $9.4M pre-money valuation
  - Humanz- $1.1M as a SAFE with a Cap of $55M and a 25% discount
  - Peerplay- $800K at a $21M pre-money valuation. In addition, $151K as a SAFE with a 15% discount
  - Deepdub- $266K at a $80M pre-money valuation
  - Botika- $1M at a $26M pre-money valuation

OUR VIEW OF THE MARKET

The first half of 2025 has been marked by a steady recovery in venture markets despite continued geopolitical uncertainty and new global trade disruptions (notably U.S. tariffs). While global capital remains available, it comes at a higher risk premium, leading to greater investor selectivity. Later-stage companies with proven backers are capturing a disproportionate share of funding, while first-time investments remain subdued.

- **Global VC Funding Remains Strong, Deals Shrink**
  Venture funding in Q2 2025 surpassed **$90 billion** for the third quarter in a row, despite deal counts dropping to their lowest levels since Q4 2016.
- **AI Continues to Lead Investment Focus**
  Artificial intelligence startups captured **31% of total VC funding** in Q2 2025, slightly down from 35% in Q2 2024
- **Larger, More Concentrated Rounds:**
  Investors are writing bigger checks—H1 2025's average deal size rose from **$14.9 million to $25.5 million**. Media sector rounds are also getting larger, with average deal size up to **$3.5 million**

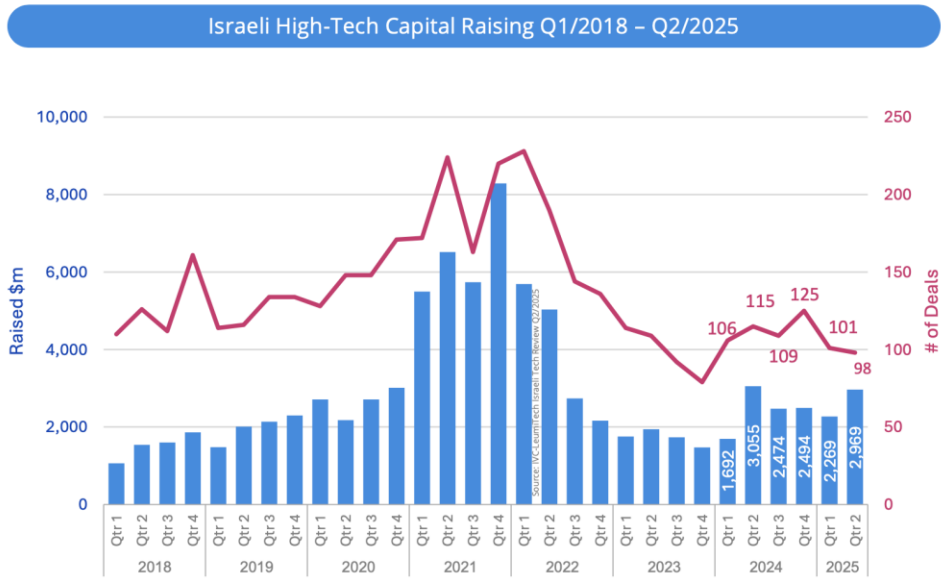
AI's Expanding Influence Across Media & Creator Economy

In the creator economy, this trend is materializing through practical investments: VCs are funneling capital into AI-powered tools for creators, enabling faster, cheaper, and more scalable content creation. For instance:

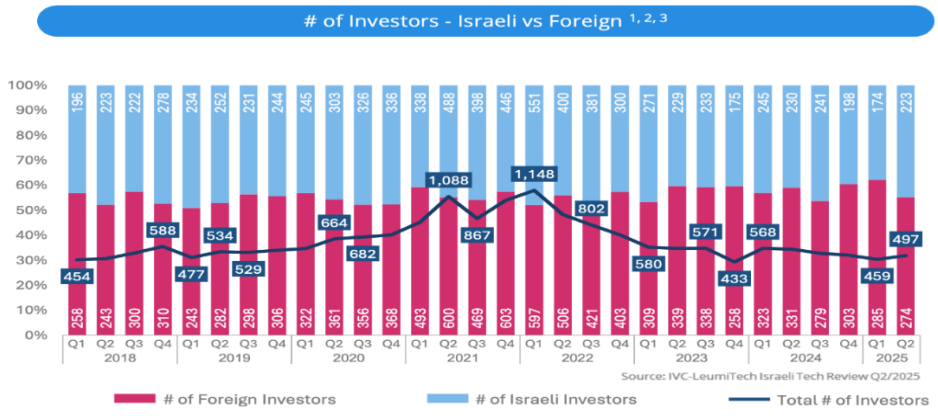
- **Whatnot** secured a $265M Series E (live shopping)
- **ShopMy** raised $77.5M Series B (social shopping)
- **Substack** closed a $100M Series C (newsletters)

Israeli Tech Market

- **Capital Raised:** Israeli tech companies raised **$2.97B in Q2 2025** across 98 reported deals (estimated at ~$4B across 191 deals after including projected undisclosed seed activity). This is the strongest quarter since mid-2022.



- **Mega-Rounds:** 17 rounds above $50M totaled $2B—68% of all capital raised this quarter. Major deals included **Cyera ($540M)**, **AI21 Labs ($300M)**, and **Cato Networks ($239M)**.
- **Stage Dynamics:**
  - Early-stage (Seed & Series A) activity continues to soften, with both deal count and amounts declining since Q4 2024.
  - Mid and later rounds are expanding, with median mid-round size hitting a record high in Q2.
  - Follow-on investments dominate—VCs remain focused on supporting existing portfolio companies rather than initiating new bets.
- **Sectors:** Cybersecurity and Generative AI remain the top verticals in both deal flow and capital. Defense tech is gaining traction, reflecting heightened global demand for dual-use and security solutions.
- **Investor Mix:** ~69% of deals in H1 2025 included foreign investors, reinforcing Israel's global capital access despite local and regional headwinds.



Exits & M&A

- **H1 2025 exit value** reached **$5.55B**, driven by the $2.5B acquisition of Melio by Xero.
- Exit count was 62 in H1, a modest improvement over 2023 lows but still below pre-2021 averages.
- Israeli acquirers completed 52 deals in H1—the most since 2021—though the majority were smaller transactions.
- IPO activity remained limited, with only two flotations: notably, eToro's NASDAQ listing at a $4.4B valuation.

Israeli High-Tech Exits (M&As, Buyouts, IPOs)

OUR PORTFOLIO OF COMPANIES

The projections we shared at the start of the year have materialized. **Four of our portfolio companies successfully closed up rounds in 2025**, validating both their strong execution and the resilience of our portfolio. Beyond these financings, momentum is growing across the board, with several companies showing impressive revenue traction and user growth. We remain focused on supporting our founders in scaling globally and are optimistic about additional milestones in the second half of the year.

FINANCIALS

As of June 30, 2025

PORTFOLIO STATS

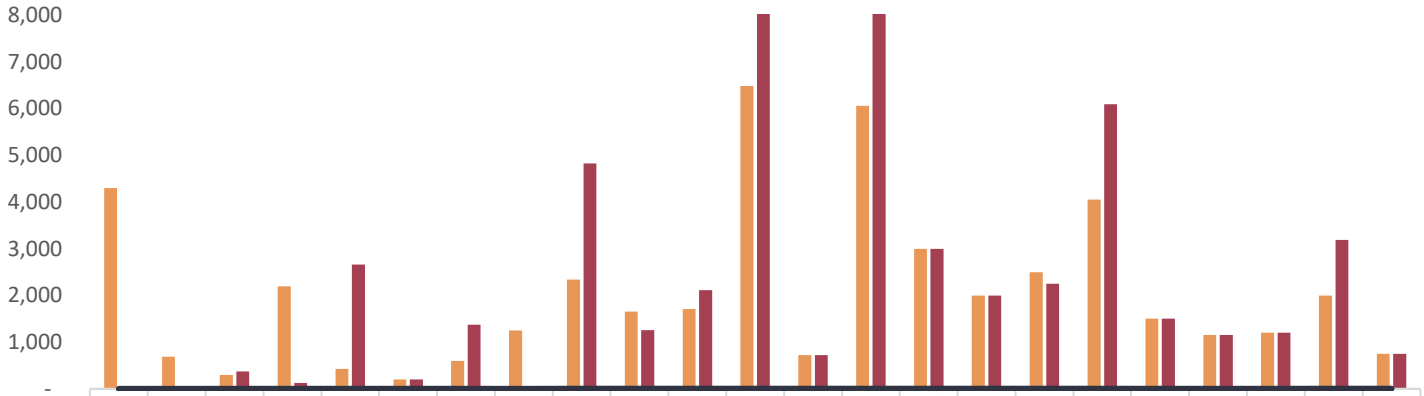
(In US thousands)

Fair market value	57,675	Number of First checks	23
Cost of portfolio companies	47,088	Avg amount of First checks	1,092
Gross Multiple (*)	1.23x	Number of Follow-ons	31
Number of exits	3	Avg amount of Follow-ons	709

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

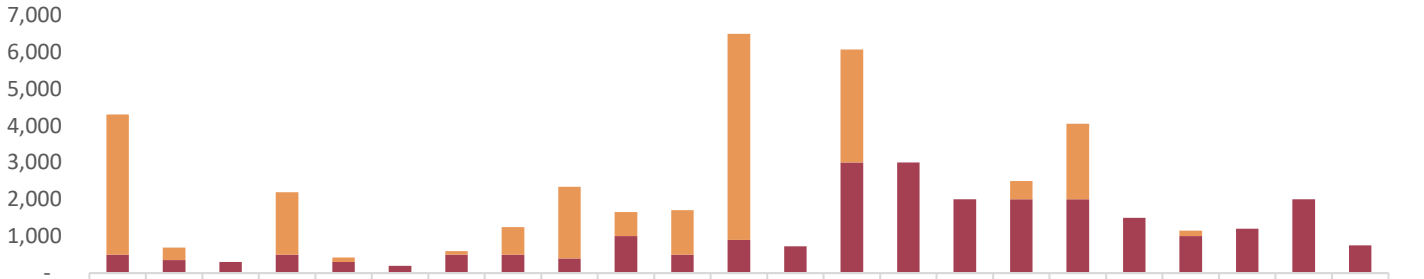
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Mapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay	Outstand	Voia	ZyG
FMV	-	-	375	125	2,660	200	1,370	-	4,823	1,257	2,114	14,475	724	8,418	3,000	2,000	2,250	6,095	1,500	1,151	1,200	3,187	750
Cost	4,300	690	300	2,197	425	200	600	1,250	2,340	1,653	1,710	6,487	724	6,061	3,000	2,000	2,500	4,050	1,500	1,151	1,200	2,000	750
Holding %	Dissolved	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	11.4%	7.2%	13.8%	7.8%	13.7%	18.8%	21.1%	13.2%	19.0%	SAFE	SAFE	SAFE	10.3%	0.5%
Multiple X	-	-	1.3	0.1	6.3	1	2.3	-	2.1	0.8	1.2	2.2	1	1.4	1	1	0.9	1.5	1	1	1	1.6	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,800	340	-	1,697	125	-	100	750	1,940	653	1,210	5,587	-	3,061	-	-	500	2,050	-	151	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000	1,200	2,000	750

PORTFOLIO UPDATE

SYTE

UPDATE: In May 2025, despite the efforts made by the newly appointed management team, the company faced significant liquidity challenges and has ceased its operations. Most of the loss was recognized as an impairment in the 2024 financial statements.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and is looking for new verticals to penetrate in order to boost performance and profitability.

FLYING PIGS

ABOUT: The company released a new app called Kwa-Kwa. Kwa-Kwa is a short mobile courses & workshops creation platform, that allows one-stop destination for engaging and enriching learning experiences. Users can either create their own course or find a world of knowledge via a curated selection of short courses and workshops, all conveniently tailored for mobile consumption.

UPDATE: In March 2025, the company raised $1.6 million in Series A Round, led by Insight Partners. Since this was a down round, we recognized the impairment loss already in 2024. We invested $200K.

A round : $200K at $9.4M pre-valuation (11.4%)

PORTFOLIO UPDATE (cont.)

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: The company continues its collaboration with one of the leading US streaming platforms and is in negotiations with additional top-tier platforms. In August 2025, the company raised $2.5M from the current shareholders with pre-valuation of $80M. We invested $266K.

B Round: $266K at $80M pre-valuation (6.6%)

NOW YOU KNOW.

ABOUT: An adaptive bite-sized learning system that guides you through weekly hands-on skills, motivation and ongoing growth.

UPDATE: The company launched a subscription model in May 2025 and has exceeded all targets since its rollout.

NLIGHT

ABOUT: The company is pivoted to locating early-stage opportunities in the field of gaming and investing in them.

PORTFOLIO UPDATE (cont.)

L U D E O

ABOUT: Ludeo is the first playable media platform letting gamers to instantly play short highlight clips of other gamers without any downloads or friction. It's like TikTok or YouTube, but instead of just watching gameplay videos, you're actually playing those moments yourself.

UPDATE: Ludeo continues to secure partnerships with leading AAA game publishers and has strengthened its leadership team with senior hires from Activision Blizzard and Playtika.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.
Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies

UPDATE: The company has successfully completed two M&A transactions in the U.S., which are expected to significantly expand its operations and drive substantial growth. In addition, the company has surpassed its targets and is continuing its efforts to grow and expand in the U.S. market. In Q2, it signed agreements with 12 new companies, including several top-tier industry leaders. The company signed a SAFE in November 2024 with a maximum amount of $10M and a cap of $55M and 25% discount. The first tranche of our investment, in amount of $468K, was executed in 2024, followed by the second tranche of $1.1M, which was completed in 2025.

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: The game development continues according to the original plan.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

UPDATE: The company is nearing $5M in revenues with 15K active paying subscribers, achieving breakeven since April. Users have earned over 20M goodies on the platform, leading to over 10K dog adoptions.

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one-of-a-kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: The company reached $2.3M ARR and it is constantly growing MoM. In August 2025, the company raised $7 million (and up to $10M) in Seed Round at $26M pre-valuation. We invested $1M.

Seed Round: $1M at $26M pre-valuation (12.4%)

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world. The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

UPDATE: The company has taken "Vision", its AI-powered feature, to the next level, turning every dream into a purchasable item. In parallel, the company has placed strong emphasis on the social side of the platform, driving significant growth in user engagement through Tedooo Communities across multiple industries in the platform. The unique combination of "Vision" + Communities is what makes Tedooo a one-of-a-kind ecosystem where imagination seamlessly transforms into reality. The company has also surpassed an impressive milestone of 700K MAU, a testament to its strong growth and market traction.

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV**.**

UPDATE: Astrid completed their demo and a custom gamer survey, sharing gameplay and IP materials. Results show overwhelmingly positive validation, with strong enthusiasm for both the game experience and the world they are building.

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

UPDATE: Peerplay reached >$4M in run rate with strong retention metrics. In May 2025, the company raised $1.5M as a SAFE (we invested $151K). In addition, the company completed Series A by the end of August 2025, at a $21 million pre-money valuation, raising a total of $8 million. We invested $0.8M.

A Round: $0.8M at $21M pre-valuation (10%)

OUTSTAND (FORMERLY ONECUT)

ABOUT: Outstand is a social marketing platform built to empower small business owners to grow their businesses through effective and consistent video content.

UPDATE: The company launched its new product - a full go-to-market platform, expanding beyond the social marketing solution it has offered until now. User acquisition is underway, with monetization expected to begin next quarter.

PORTFOLIO UPDATE (cont.)

V O I A

ABOUT: AI-Powered Video production of cinematic videos, delivering Hollywood-quality results while bypassing studio and equipment requirements to save time and money for visual storytellers.

UPDATE: The company secured major deals and has begun deploying a flagship project with a leading Israeli brand – stay tuned.
In May 2025, the company raised $2.5 million in Seed Round at $25M pre-valuation.

Z Y G

ABOUT: ZyG was founded by ex-Ironsource founders and is revolutionizing eCommerce by creating the ultimate brand-building machine.
Zyg is developing the technological infrastructure to manage dozens of scaled brands simultaneously with maximum AI-driven efficiency.

Update: The company launched their first brand in the US - millsdailypacks.com and is targeting to end the year with 2–3 brands actively scaling.

Seed Round: $750K at $100M pre-valuation (0.5%)